

Email: fzhu@emp.uc3m.es **Phone:** (+34) 693-545-093
GitHub: //fengzhi22 **Website:** //fengzhi22.github.io/

Research Interests Financial Reporting, Textual Analysis, Conservatism, Corporate Governance

Education **Universidad Carlos III de Madrid** Madrid, Spain
 Ph.D. Candidate in Accounting Sep 2019 – Present
 Supervisors: Juan Manuel García Lara, Beatriz García Osma
 Visit to Temple University (planned) Jan 2022 – June 2022

Universidad Carlos III de Madrid Madrid, Spain
 Research Master in Business and Finance Sep 2017 – July 2019

Universidad Carlos III de Madrid Madrid, Spain
 Bachelor of Finance and Accounting Sep 2013 – July 2017
 Exchange to University of Wisconsin Madison Sep 2015 – May 2016

Working Papers **Narrative Conservatism**
Juan Manuel García Lara, Beatriz García Osma, Fengzhi Zhu
 We define narrative conservatism as narratives reflecting bad news in a time-later, more news-consistent, and more complete manner than good news. Using a sample of Form 8-K filings from 1993 to 2020, we find that narrative disclosure is conservative. 8-Ks are filed faster, their tone is more news-consistent, and they contain more forward-looking statements, filings, items, exhibits, and graphs in response to bad news than to good news. We document higher narrative conservatism in voluntary 8-Ks and in settings where managers have more incentives to disclose bad news. In addition, we find narrative conservatism in quarterly reports as well, and the level of conservatism is higher within the MD&A section and in firms with low conditional conservatism.

Missing narratives: An Analysis of Biases in Sample Selection and Variable Choice in Textual Analysis Research

Andrea Bafundi, Beatriz García Osma, Encarna Guillamón-Saorín, Fengzhi Zhu

We examine plausible biases in textual analysis studies of 10-K documents. The study of financial narratives using automated procedures is a relatively novel development in accounting and finance. Therefore, standardized methods to collect and systematically analyze these data are yet to be developed. We provide detailed step-by-step guidance on how to download and prepare these files for analysis, and study the plausible biases introduced by a number of decisions regarding sample construction, data preparation, and variable choice. In particular, we focus on two widely studied properties of financial narratives: Tone and Readability. We document that a number of these choices introduce biases into the samples studied, as well as induce differences in average observed Tone and Readability. Our results also indicate that a non-trivial proportion of the Edgar database population is missing from the textual analyses.

Shareholder Voting and Disclosure in M&As

Duy Tan Do, Beatriz García Osma, Anna Toldrà-Simats, Fengzhi Zhu

We examine whether voting requirements in M&As induce disclosure, lowering information asymmetry. We find that acquirers subject to shareholder voting provide more 8-K disclosure during the transaction period, and are more likely to provide timely disclosure of the merger agreement, information on expected synergies and post-merger earnings forecasts. For acquirers subject to voting, we document that the association between disclosure and bid-ask spread is more negative than in other acquirers, and the association between disclosure and transient institutional sales is more positive. Lower bid-ask spread and higher transient institutional sales are associated with higher voting support and likelihood of deal completion. These results suggest that the induced disclosure is informative and it can affect voting outcomes through changing the deal valuation and the shareholder base. Evidence from falsification tests and a regression-discontinuity design supports the causal interpretation of the positive effect of shareholder voting on disclosure.

Conference
Presentations

Narrative Conservatism

To be presented at: 2022 Midyear Meeting of the the Financial Accounting and Reporting Section (Denver, U.S.)

Presented at: XVI International Accounting Research Symposium (online), 2021 American Accounting Association Annual Meeting (online), 2021 Canadian Academic Accounting Association Annual Conference (online), 2021 European Accounting Association Meeting (online), 2021 PRICIT Doctoral Workshop (online)

Shareholder Voting and Disclosure in M&As

Presented at: 2021 Canadian Academic Accounting Association Craft Workshop (online)

Conference & Workshop Participations	2021 CAR Virtual Conference 2021 and 2020 UT-Austin Virtual PhD Student Symposium 2021 Limberg Institute Virtual Python Course 2019 - 2020 Statistical Programming and Open Science Methods Organized by Humboldt-Universität zu Berlin, Berlin International Research Symposium for Accounting Academics 2019 and 2018, Madrid		
Presentations by Coauthors	Narrative Conservatism presented at: Queen Mary University of London, IÉSEG School of Management, EAA-VARS, XX GRUDIS Conference & Doctoral Colloquium, Alliance Manchester Business School, Porto University Missing Narratives presented at: 2018 EAA Annual Meeting (Milan), the 2021 EAA Annual Meeting (Audit Analytics Symposium), the Natural Language Processing in Financial Markets Workshop (ESMT Berlin), Universitat Jaume I, the University of Adelaide, and Queensland University of Technology, XXI Congreso Internacional AECA Shareholder Voting and Disclosure in M&A presented at: 1 st PhD and Young Accounting Scholars Conference 2021		
Service	European Accounting Review Virtual Annual Conference Member of the Organizing Committee in 2021 and 2020 2019 27th Finance Forum, the Annual Meeting of the AEFIN Conference volunteer, Madrid		
Honors & Scholarships	European Accounting Association 2021 CAAA Annual Conference Grant 2020 Universidad Carlos III de Madrid Doctoral Training Scholarship 2019 Research Master Scholarship 2017 Undergraduate Exchange Program Grant 2015		
Academic Memberships	European Accounting Association	Nov 2020 – Present	
	Canadian Academic Accounting Association	Jan 2021 – Present	
	American Accounting Association	July 2021 – Present	

Teaching Experience	13174: Financial Accounting (UC3M)	Fall 2021
	17622: Principles of Accounting (UC3M)	Spring 2021
	Average student rating: 4.3/5	
	13157: Introduction to Accounting (UC3M)	Spring 2020
	Average student rating: 4.0/5	
	13157: Introducción a la Contabilidad (UC3M)	Spring 2019
Industry Experience	Procter & Gamble	Madrid, Spain
	Financial Data Analyst Intern	Jan 2017 – Aug 2017
Skills	Programming	
	Software: Stata, R, Matlab, LaTeX, Git, Microsoft Office Suite	
	Programming language: Python	
	Operating system: Windows, Linux	
	Languages	
	Mandarin, English, Spanish, Cantonese	